## Demographics

The role of demography in shaping the size of the labour force and economic productivity and its structure has a bearing on economic growth. As compared to the 1980s, it is clear that a number of advanced countries have ageing populations. At the same time, their share in the global GDP is reducing in relative terms. The changing *dimensions* of the world demographics and the critical role the *international migration* plays become visible via the UN Population Division[12] which is as given below:

1. Of the 6.9 billion global population in 2010, 214 million or **3.1** per cent were international migrants.
2. South-South migration is also becoming important about which sufficient data is not available.
3. Without international migration, the working-age population (persons in age group 20-64 years, as per UN classification) in the developed countries would decline by 77 million or about 11 per cent – which could increase the dependence of the developed countries on international migrants or on outsourcing of work.
4. While demographic changes are incremental, the cumulative change in demographic structure has started to impinge on the **fiscal capacity** of many developed economies, particularly in Europe – an increase in share of *retirees*, existing social compacts in many developed countries have come under strain as their capacity to service ***public debt*** has diminished and private debt has also risen.
5. The recourse to automatic stabilizers during the financial crisis has stretched their fiscal capacity as public debt in relation to GDP has reached close to or exceeded the benchmark of 100 per cent of GDP and, in case of Japan, touched a whopping **220** percent of GDP[13].
6. An interesting point to note is that as compared to most of the major economies, expenditure of the general government in **India** is much lower as is the case in respect of revenue.

At this juncture, there is an underlying ***resistance*** on both counts in advanced economies that may well make the revival of growth more challenging. With regard to economies like India, the availability of a larger